Income from employment

Content

B Income tax and NIC liabilities

2. Income from employment

a) Recognise the factors that determine whether an engagement is treated as employment or self-employment.

b) Recognise the basis of assessment for employment income

c) Recognise the income assessable

d) Recognise the allowable deductions, including travelling expenses

e) Discuss the use of the statutory approved mileage allowances.

1. Indicators of employment

Any of the following manners can indicate employment status:

- An individual is committed to work a specified number of hours at certain fixed time and is paid for overtime.
- An individual can enjoy employee benefits (e.g., sick leave or paid time off).
- An individual need to finish the work in person.
- An individual cannot decline the work offered.
- An individual does not need to provide equipment for work.
- An individual is paid by hour, week or month.
- An individual does not take financial risk or personal risk.

2. Proforma of employment Income

Monetary Earnings	Salary	X
	Bonus	X
	Commission / tips	X
Non-monetary Earnings	Add: Benefits in kind	X
		X
	Less: Allowable deductions	(X)
	Employment income	**B**

3. Monetary earnings

3.1 Salary

由于雇佣而产生的，对应税务年度的税前工资 gross salary 。

3.2 Commission / tips

佣金和小费根据收付实现制来确定对应计税时点。

3. Monetary earnings

3.3 Bonus

For general employee

The **earlier** of:

- Date of payment
- Date of entitlement

For director

The **earliest** of:

- Date of payment
- Date of entitlement
- The time when the amount is credited to the account
- The **later** of the end of the company's period of account and the time when the amount is determined

Lecture example 1

Sam and Vicky are employed by A Ltd. Sam is the only director of A Ltd. Due to their performances, A Ltd decided to reward them bonuses. Sam's bonus was determined on 12 January 2026. On 18 March 2026 the amount was credited in A Ltd.'s accounting records. And the end of period of account of A Ltd is 31 March 2026.

The details of these two bonuses are as follows:

	Amount £	Date of payment	Date of entitlement	In respect of the year ended
Sam	6,000	1 June 2026	15 May 2026	31 December 2025
Vicky	5,000	15 July 2025	15 February 2025	31 December 2024

Determine which tax year each bonus belongs to in order to calculate employment income.

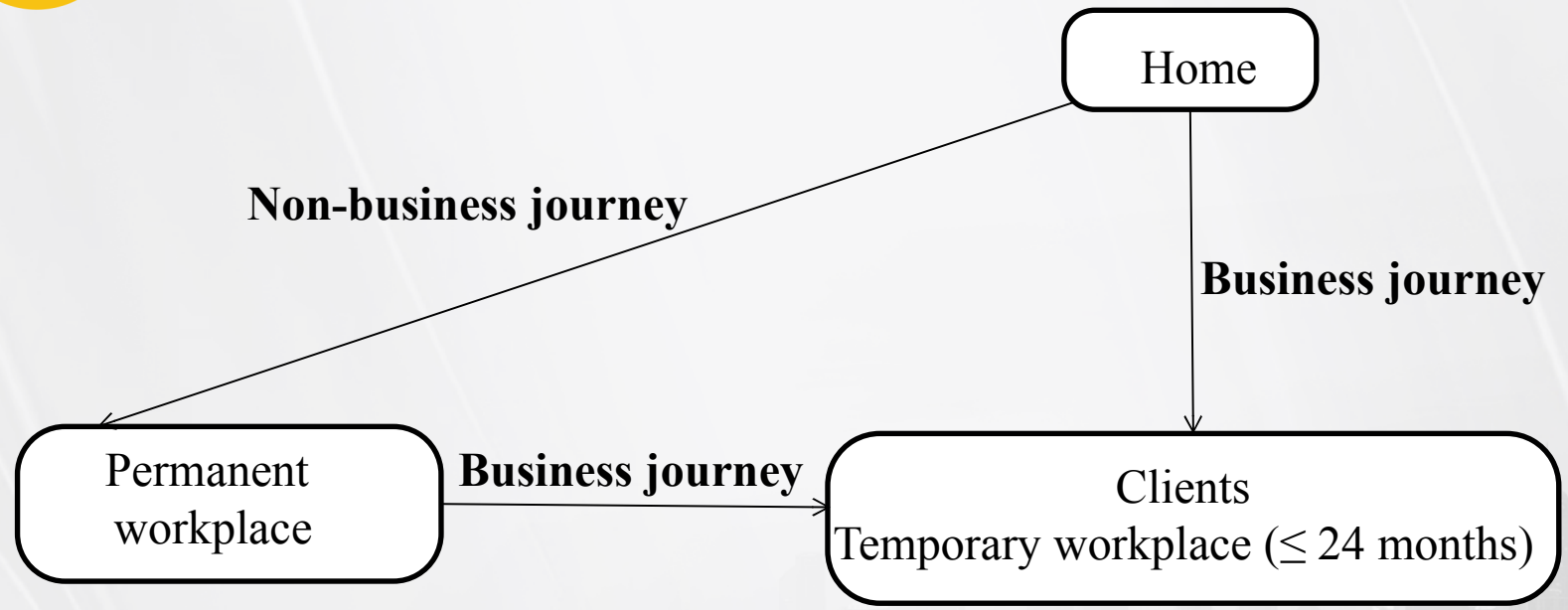
4. Allowable deductions

Deductions cannot create a loss. Deductions can only reduce the taxable earnings to nil.

Allowable deductions：

- Expenditures wholly, exclusively and necessarily for the performance of duties of employment
- Contributions to approved occupational pension scheme
- Subscriptions relating to employment to professional bodies
- Charitable donations under the payroll deduction scheme
- Travel expenses relating to business journey
- Mileage allowances

5. Travel expenses



Non-business journey: 从家到永久性工作地点属于正常通勤，为非商业行程。

Business journey: 从家或者永久性工作地点到临时性工作地点，为商业行程。

5. Travel expenses

- Travel expenses relating to business journey are allowable deduction.
- Travel expenses relating to non-business journey are not-allowable deduction.
- Site based employees: No permanent workplace. All travel expenses are allowable deductione.

6. Mileage allowances

When employees use their private cars or vans in the performance of their duties, employers may reimburse employees at a certain rate. The relevant tax treatment is as follows.

Payment by employer	X
Less mileage allowance	(X)
Taxable benefit	X

Payment by employer	X
Less mileage allowance	(X)
Allowable deduction	(X)

Approved mileage allowance: cars (£1 = 100 pence)	
up to 10,000 miles	45 p/mile
over 10,000 miles	25 p/mile

Lecture example 2

During the tax year 2025-26, Bob has been employed by D plc, Bob used his private car for both private and business journeys. The total mileage driven by Bob throughout the tax year was 28,000 miles. However only 19,000 miles were related to business journeys. D plc paid him a mileage allowance.

What is tax treatment about this?

(a) If he is reimbursed by D plc at the rate of 30p per mile for total miles?

(b) If he is reimbursed by D plc at the rate of 15p per mile for business miles?

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Quizzes(self-practice)

Quiz 1

Which of the following are generally indicative of self-employment rather than employment?

(1) Contract allows a substitute to be provided
(2) Entitled to bonus and overtime
(3) Own equipment provided
(4) Work quoted on a fixed price

A.1, 2 and 3
B.2, 3 and 4
C.1, 3 and 4
D.1, 2 and 4

Quiz 1-A

The correct answer is **C**.
Entitlement to bonus and overtime is indicative of employment rather than self-employment.

Quiz 2

Robyn is a director of Ragle Ltd, which prepares accounts annually to 31 December. Robyn became entitled to a bonus on 31 January 2026 in relation to the year ended 31 December 2025. The bonus was paid on 15 February 2026 and credited to the accounts on 28 February 2026.

On which date will Robyn be treated as having received the bonus for tax purposes?

A.31 December 2025
B.31 January 2026
C.15 February 2026
D.28 February 2026

Quiz 2-A

The correct answer is **B**.

Directors are assessable on the earliest of:

- date of receipt
- *end* of the company's accounting period, if amount was determined (i.e. voted) *during* the accounting period
- *when amount determined* (i.e. voted), if determined *after* the end of the accounting period to which they relate.

As the amount was determined on 31 January 2026 which is after the year end, this is the date it is treated as received, as the payment date is later still.

Quiz 3

Which of the following are allowable expenses of employment?

(1) Contributions to an occupational pension scheme
(2) Payroll gift to charity
(3) Entertaining which is treated as allowable by the employer
(4) Professional subscriptions to approved bodies

A.1, 2 and 3
B.2, 3 and 4
C.1, 3 and 4
D.1, 2 and 4

Quiz 3-A

The correct answer is **D**.
For entertaining to be treated as an allowable expense of employment, it should be treated as disallowable expenses in the hands of the employer.

Quiz 4

Which of the following types of business travel are allowable expenses of employment?

(1) Travel to visit a client
(2) Travel from home to a temporary workplace
(3) Travel from home to a permanent workplace

A.1, 2 and 3
B.1 and 2 only
C.1 and 3 only
D.2 and 3 only

Quiz 4-A

The correct answer is **B**.
the cost of regular commuting from the employee's home to their permanent workplace are not allowable expenses.



Thank You

谢谢观看

THANK FOR WATCHING